CHAPTER 2 – The Benchmark Portfolio: 60/40

> "No strategy is so good that it can't have a bad year or more. You've got to guess at worst cases: No model will tell you that. My rule of thumb is double the worst that you have ever seen." – Cliff Asness , Co-founder AQR Capital Management

The most venerable asset allocation model is the traditional 60/40 portfolio. The portfolio simply invests 60% in stocks (S&P 500) and 40% in 10-year U.S. government bonds. We will use this portfolio as the benchmark to compare all of the following portfolios in this book.

The reason many people will invest in both stocks and bonds is that they are often non-correlated, meaning, stocks often zig while bonds zag. While the relationship isn't constant, combining two or more non-correlated assets into a portfolio results in a better portfolio than just either alone.

How has this portfolio performed? Let's look at the U.S. 60/40 portfolio back to 1913, rebalanced monthly. We consider volatility to be measured by the standard deviation of monthly returns. The Sharpe ratio is a measure of risk adjusted returns, and is calculated as: (returns – risk free rate)/volatility. The risk-free rate is simply the return of Treasury bills. A higher Sharpe ratio is better, and a good rule of thumb is that risky asset classes have Sharpe ratios that cluster around the 0.20 to 0.30 range.

FIGURE 11 –Asset Class Real Returns, 1913-2013

Real 1913-2013	Bonds	Stocks	60/40
Returns	1.82%	6.59%	5.11%
Volatility	6.68%	18.61%	11.79%
Sharpe	0.22	0.33	0.40
Max Drawdown	-59.06%	-78.94%	-52.38%

Source: Global Financial Data